

“What affects interest rates?”

Though interest rates can feel complicated and somewhat disconnected from standard economic ideas, the reality couldn't be further from it. With a few extra steps, it's a simple matter of supply and demand.

At its core, an interest rate is intended to add a cost to borrowing money that makes it financially ideal for the lender. Unless it's a credit union, an American bank is an institution like any other, intended to grow its shareholders' wealth. Making it financially ideal means accounting for the risk of a failed repayment, as well as the inflation that occurred before the debt was repaid. When a bank has an abundance of credit without many borrowers, and those borrowers have been able to pay back their debt, interest rates are lower. The opposite of that statement, for when banks lack credit, is also true. Many business owners experience this through the lens of a bank clerk taking a risk on them. To the bank, their shareholders are that clerk.

Eight times a year, the Federal Open Market Committee meets to make predictions about what's coming in the next few years and plan. These actions control the primary influence on interest rates, the federal funds rate. This is the rate that banks charge each other to borrow reserves, a currency controlled by the Federal Reserve that can be converted to physical cash or used in transactions electronically. Banks use these for daily liquidity needs, like an account owner's withdrawal.

The Federal Reserve controls this rate by selling U.S. securities, like bonds, back to the bank to decrease the amount of reserves in circulation. To slow inflation down, spending would have to decrease. To manufacture this, the Federal Reserve would sell its bonds to the bank,

increasing the scarcity of reserves. Increasing the scarcity makes it harder to reach demand, leading to a higher cost that will, in turn, be made up for by banks as the federal funds rate. If the federal funds rate increases, the interest rate will rise with it. Loans become harder to afford, slowing the creation of new businesses, ultimately leading to less money spent. If interest rates were low during a period of high inflation, loans would be repaid with dollars worth less than the original principal, leading banks to have trouble paying their debts. Their response to that trouble would lead to a domino effect that would increase inflation further, making higher interest rates a much more reasonable choice.

As said before, an interest rate is intended to counteract the risks of a loan. The Federal Reserve aims to maintain a functioning economy, while banks aim to make a profit for their shareholders. If the bank is incurring higher business costs due to the federal funds rate, those costs will be passed on to the loan's interest rate. Hopefully, it's cheaper than next year's inflation for everyone involved.